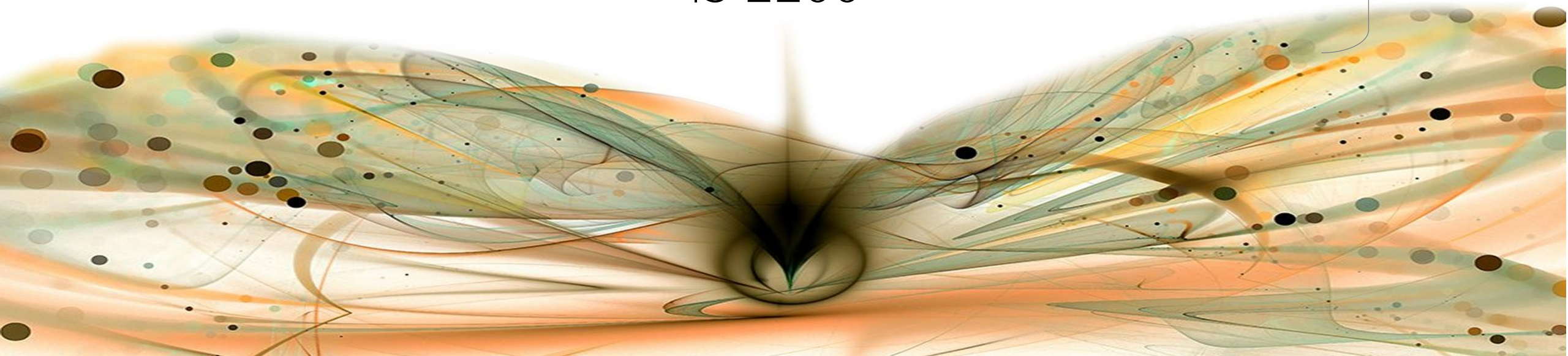
Consumer Buying Behaviour

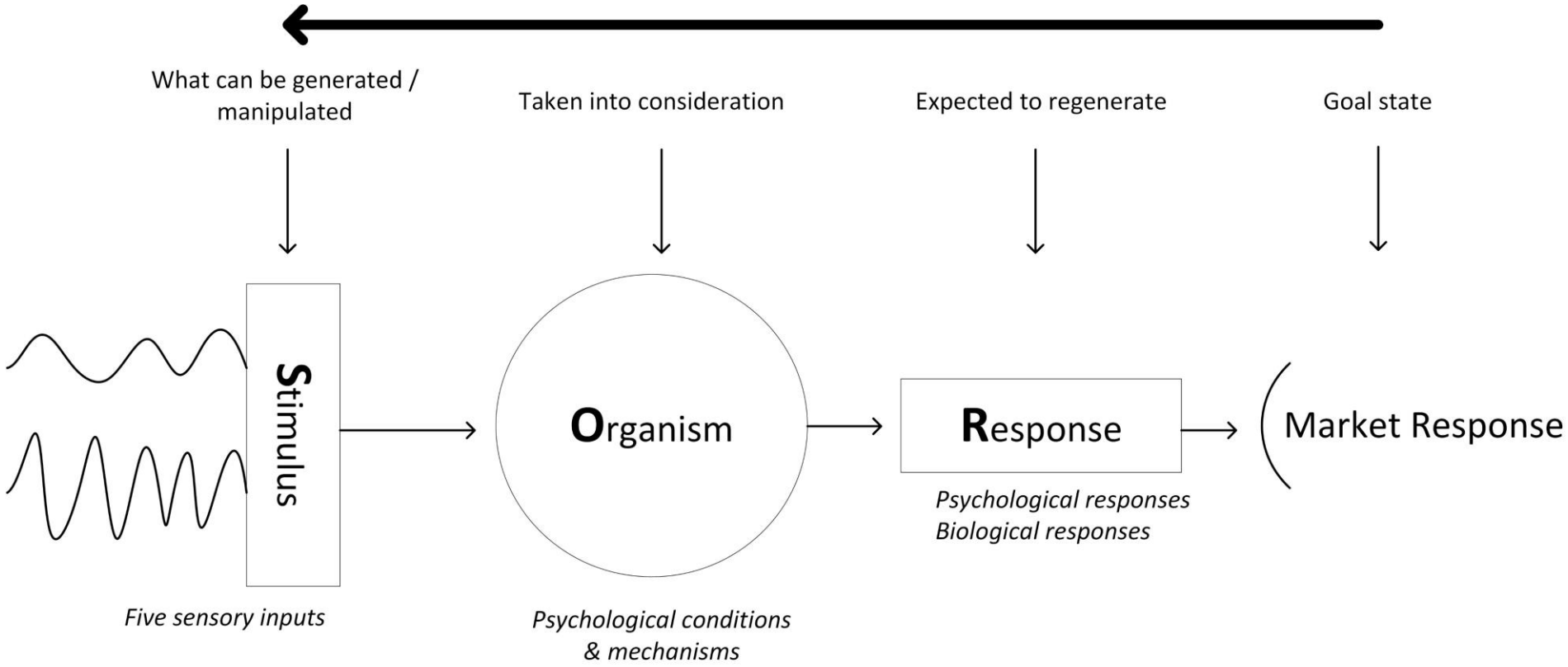
IS 2200



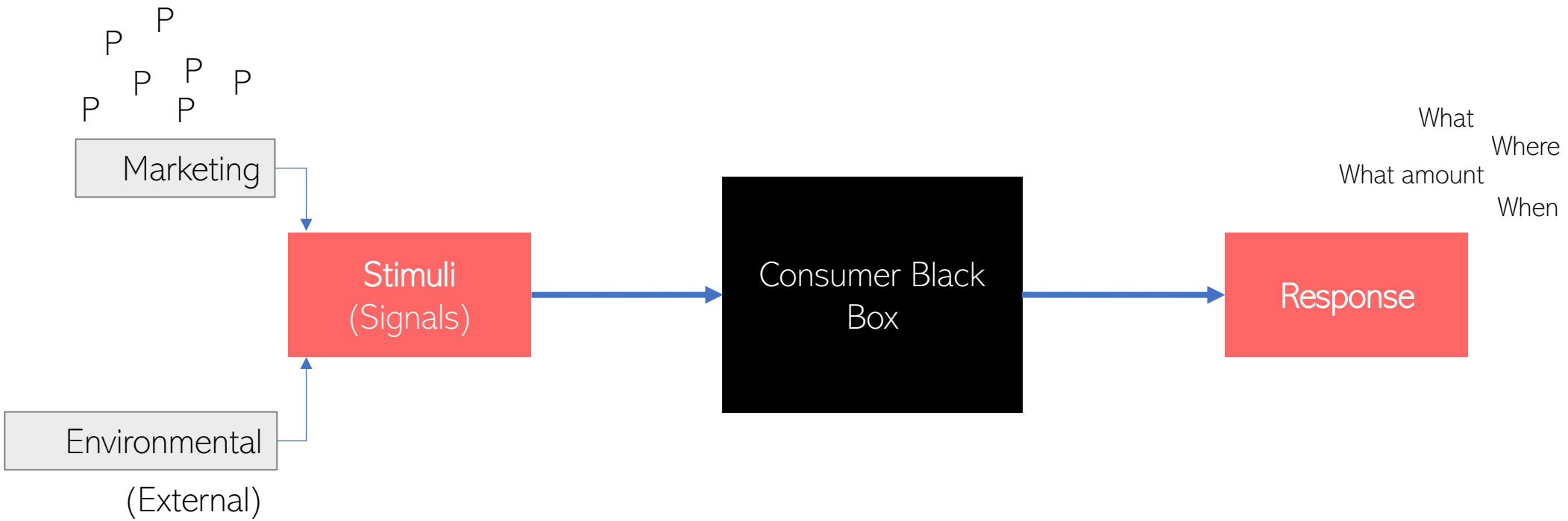
The Question of WHY

with the answers What and How

SOR model


What can be generated / manipulated
Taken into consideration
Expected to regenerate
Goal state
Stimulus
Organism
Response
Market Response
Psychological responses
Biological responses
Five sensory inputs
Psychological conditions & mechanisms

buying behavior model



stimulus organism response model (SOR)

- Stimuli include marketing and non-marketing stimuli a consumer gets exposed to through their sensors
- Organism is through which the processing of those stimuli happens. There are various biological, social, and psychological factors affect it.
  - Understanding how the stimuli are processed is vital.
  - This is very complex and vastly unknown.
- Responses are the consumer's decision on a variety of consumption

KANO Analysis of Satisfaction

Basic attributes

- Musts of the product.
- Presents cannot make customer satisfied.
- Absence or low performance will make the customer dissatisfied

e.g. Error free OS

Performance attributes

- Customer satisfaction is proportional to the performance of these attributes
- Willing to pay more for more performance

E.g. Speed of performance

Excitement attributes

- Presence of these will make customer delighted
- Low of these will only be less satisfied
- Will not make customers dissatisfied
- Highly noticeable

E.g. Voice commands in OS



~ There is no single fabric of SATISFACTION that we can always wrap ourselves around ~

What?

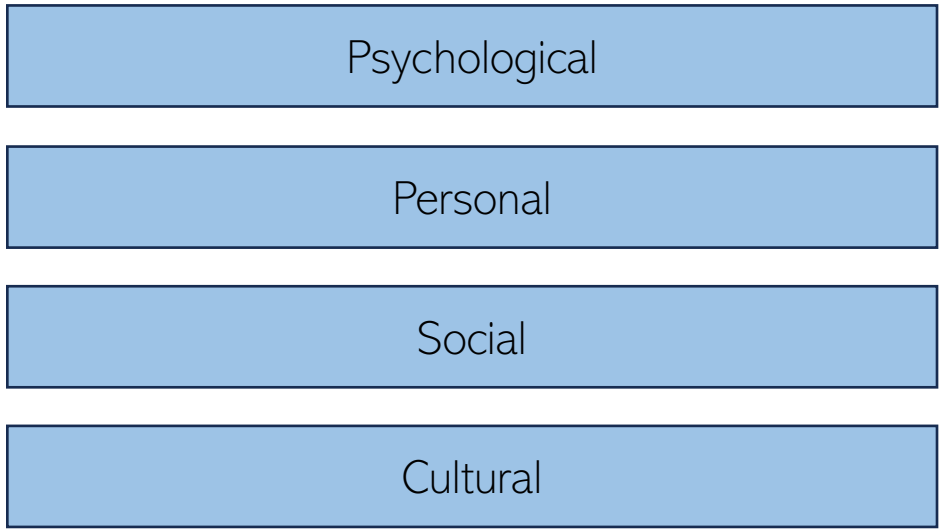
It has different equilibriums changing constantly depending on many factors. So, our feeling of satisfaction is relative to ourselves as well as to the society we live in.

If consumers are after SATISFACTION

What factors determine their buying?

Factors affecting consumer behaviour

Consumption dynamics associated with consumer buying is determined by these factors at the macroscopic level.






KFC
KFC
KFC







This is a tricky thing

cultural factors

- Culture
  - Set of basic values and perceptions, wants and behaviours learned from family and other important institutions.
  - Collective mental programs
  - It is the DLL of our mind
- Subculture
  - Group of people within a culture, based on common experience
- Social class
  - Relatively permanent and ordered division in society; again share similar values and believes.

Does Dominos do a good cultural adoption?

Cultural adoption ≠ Compliance

Cultural adoption → Remove market realization blockages



social factors

- Group
  - A set of people who interacts each other to accomplish individual or mutual goals
    - Membership group
    - Reference group
    - Aspirational group

    Opinion Leaders

    People who will influence others as they have especial skills, knowledge, personality or any other.
- Family
- Roles and status
  - What you are expected to perform and what the members assigned you with

personal factors

- Age and life-cycle stage
  - Stages of a family
  - Journey of one's life
- Occupation
- Economic situation (personal)
- Lifestyle
  - Pattern of living that is expressed in activities, interest and opinions
  - Pattern of choices
    - VALS, Technopgraphics
- Personality and self-concepts
  - How a person responds to his or her environment
  - Brands also have personalities
  - People consume or possess things that match their self-concept


Coffee Culture

psychological factors

- Motivation
  - A sufficiently aroused tension
  - Drive to satisfy needs; What lies beneath
  - Freud's Theory → our motives are largely unconscious
  - Maslow Theory → motives have priorities
  - Need to uncover hidden drives
    - Projective techniques, Hidden Issue Analysis

psychological factors (cont)

- Perception
  - How people select, organize, and interpret information to create a picture of the world
  - Approximately 5000 ads per day
    - So; selective attention, distortion, and retention happens
- Learning
  - Change in behaviour base on what you know
    - Drives →Stimulus object→cues →responses →reinforcements
- Beliefs and Attitudes
  - Beliefs – what you think as true / false
  - Attitudes –judgment

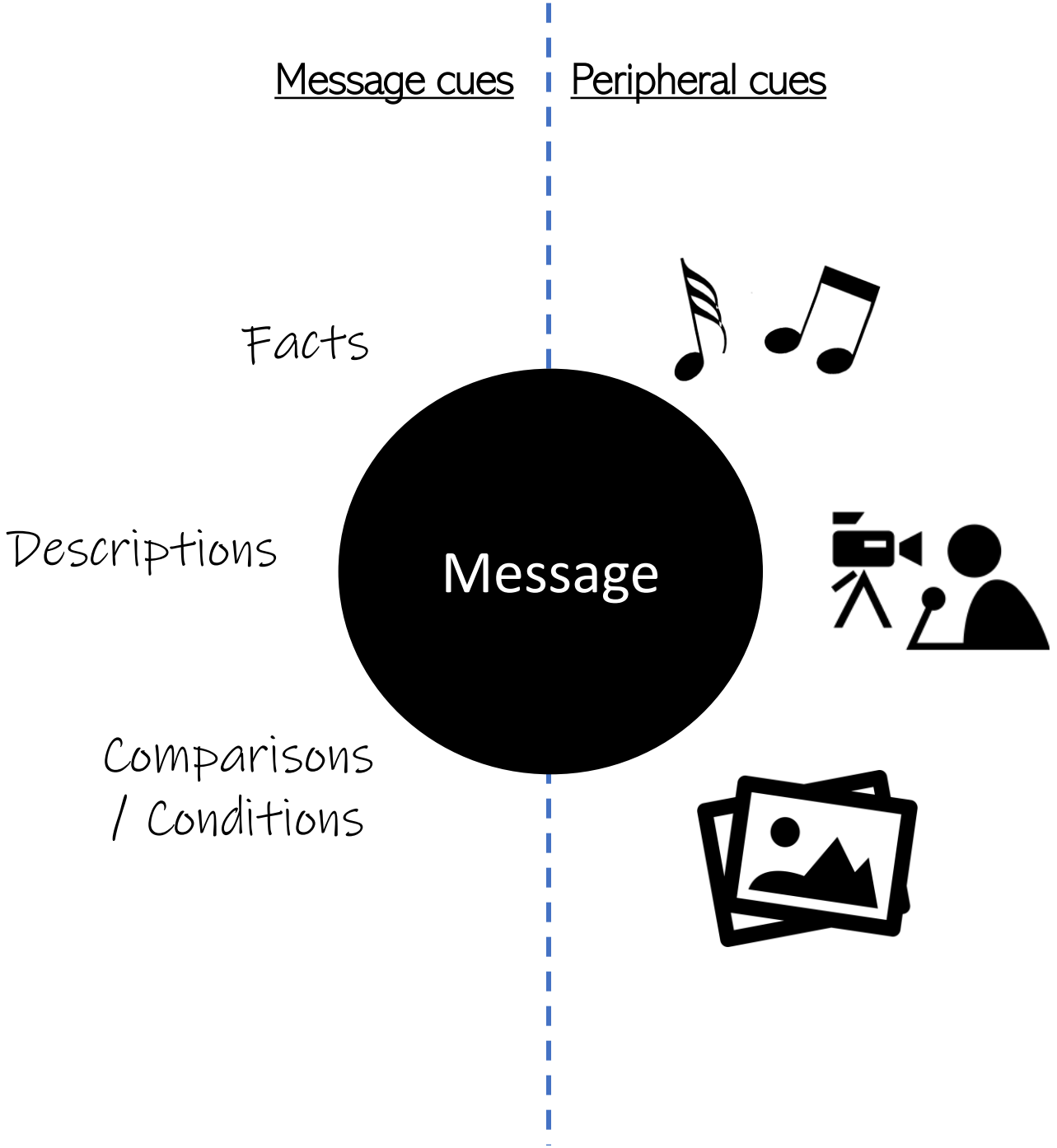


Complex interactions of WHATs determines how they do things

HOW?


1
6

route to persuasion



Is it distinctive?



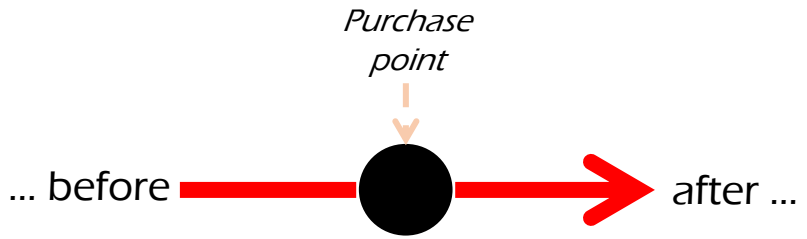
buying-decision behaviour

	High Involvement	Low Involvement
Significant differences between brands	Complex Buying Behaviour E.g. Purchasing a Laptop	Variety Seeking Buying Behaviour E.g. Video Games, Movies
Few differences between brands	Dissonance Reducing Buying Behaviour E.g. 4k Monitor	Habitual Buying Behaviour E.g. Browser

how a customer purchases

- Awareness
- Search Information
- Evaluate Alternatives
- Deciding and Purchasing
- Post-purchase Evaluation
- *…the process goes on even further*

Does not always start from the beginning





How about switching to a new product?

product diffusion

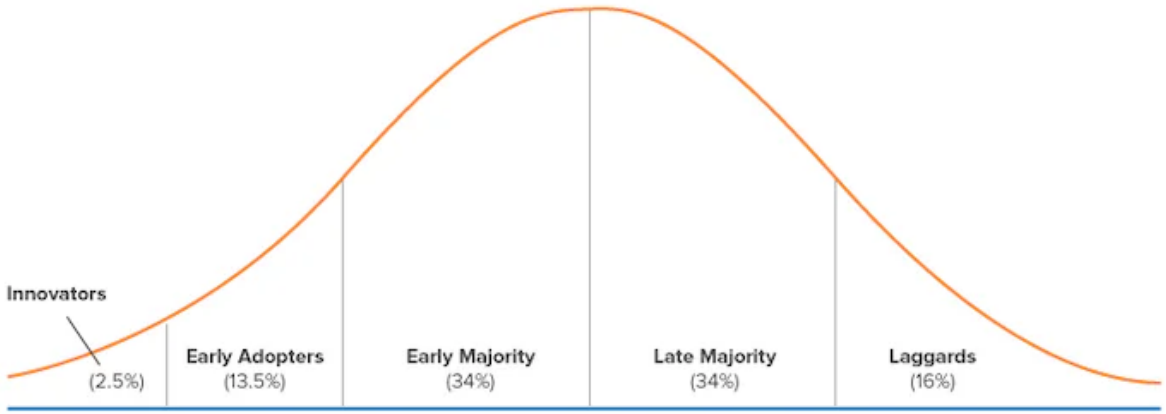
- Diffusion is the acceptance of a product by the target consumers.
- How to;
  - Disequilibration: need this for consumption to trigger
    - Communication
    - Invitation to visit (e.g. the lab) and demonstrate features.
    - Competitions
    - Trade shows
  - Reinforce “ability”
    - Penetration pricing until it reaches certain level of popularity
    - Product giveaways.

  - E.g. YouTube unboxing, review writers, professional users.

new product adoption

- Awareness
  - Become aware of new product
- Interest
  - Seek information about the product
- Evaluation
  - Whether trying a new product makes a sense
- Trial
  - Tries the product on small scale to determine whether you want it
- Adoption
  - Becomes a regular customer

Diffusion curve



Innovators:
Risk takers, confident, and usually very wealthy. Love tech adoption

Early Adopters:
Product/technology advocate. Educated and wanted to experience before the majority.

Early Majority:
Not willing to take high risk. Product stability is important and looking for recommendations by the users of the product. Trend consumers.

Late Majority:
The product needs to be very popular for adoption. Low risk-taking.

Laggards:
When the product becomes traditional or there is no other traditional option for these consumers to purchase.

which one?



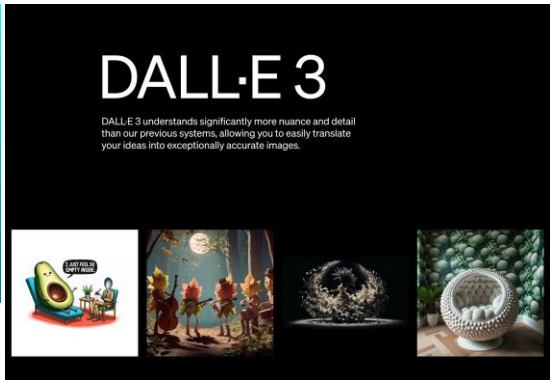


product characteristics & rate of adoption

- Relative Advantage
  - Whether superior to existing one
- Compatibility
  - Whether it fits the experience of customers
- Complexity
  - Degree of difficulty in understanding
- Divisibility
  - Can it be tried on limited basis
- Communicability
  - Can the result be observed or communicated







Consumers evaluate products both attribute wise and as a whole

Activity

- Pick any software solution and do the following
  - Discuss the possible influence of the macro factors for buying the product (that includes subscriptions too)
  - Pick a competitive solution and discuss about the market
  - Discuss the possible segments that falls into adoption curve
  - Discuss the factors for adoption
  - Propose how to make the consumers to adopt the solution